

Phoenix Corporation v. Biogenesis, Inc.

NCBE DRAFTERS' POINT SHEET

About six years ago, Phoenix Corporation, a medical research company represented by the Collins Law Firm, brought a breach-of-contract action in state court seeking about \$80 million in damages against Biogenesis, Inc., a biotechnology company represented by Amberg & Lewis LLP. A jury trial is set to begin in a month and is expected to last six weeks. Two weeks ago, however, Phoenix filed a motion to disqualify Amberg & Lewis as Biogenesis's attorneys. Phoenix claims that Amberg & Lewis violated an ethical obligation threatening incurable prejudice through its handling of one of Phoenix's attorney-client privileged documents, which Phoenix assumes was disclosed inadvertently.

Amberg & Lewis has retained applicants' law firm to consult on the motion for disqualification. Applicants' task is to prepare an objective memorandum evaluating the merits of Phoenix's argument to disqualify.

The File contains the following materials: a memorandum from the supervising attorney describing the assignment (task memo), the transcript of the client interview, the document that is the subject of the disqualification motion, and Phoenix's brief in support of its motion for disqualification. The Library contains Rule 4.4 of the Franklin Rules of Professional Conduct and two cases bearing on the subject.

The following discussion covers all of the points the drafters intended to raise in the problem. Applicants need not cover them all to receive passing or even excellent grades. Grading is left entirely to the discretion of the user jurisdictions.

I. Overview

Applicants are given a general call: "Please prepare a memorandum evaluating the merits of Phoenix's argument for Amberg & Lewis's disqualification. . . ." To complete the assignment, applicants should identify and discuss two key issues: (1) whether Amberg & Lewis has violated the rules of professional conduct, and (2) whether disqualification is indeed the appropriate remedy on the facts as given.

There is no specific format for the assigned task. Applicants' work product should resemble a legal memorandum such as one an associate would draft for a supervising partner. Applicants may choose to follow the lead of Phoenix's motion to disqualify and organize their answer in response to each of the issues raised in Phoenix's supporting brief. However, it should be an objective memorandum; applicants who draft a memorandum that is persuasive in tone have not followed instructions (jurisdictions may want to consider whether points should be deducted from such papers). The task memorandum instructs

applicants not to draft a statement of facts but to be sure to incorporate the relevant facts into their discussions.

Applicants should conclude that even if Amberg & Lewis has violated an ethical obligation (and it is not at all clear that it has), disqualification is not the appropriate remedy in this case.

II. Detailed Analysis

These are the key points that applicants should discuss, taking care to incorporate the relevant facts and explain and/or distinguish the applicable case law, in an objective memorandum evaluating the merits of Phoenix's argument to disqualify Amberg & Lewis:

As a preliminary matter, applicants should set forth the basis for why the Schetina letter may trigger disqualification under the Franklin Rules of Professional Conduct.

- Franklin Evidence Code § 954 provides that a client has a privilege to refuse to disclose, and to prevent another from disclosing, a confidential communication between client and attorney.
- It appears undisputed that the Schetina letter is protected by the attorney-client privilege under § 954.
 - It is a communication, labeled "CONFIDENTIAL," from Phoenix's then president, Schetina, to one of its attorneys, Horvitz.
 - Amberg & Lewis concedes that the letter is privileged.
 - Even if the Schetina letter were not privileged, it relates "to the representation of the attorney's client," which is the standard used in Rule 4.4. In other words, a document does not have to be attorney-client privileged for its handling by opposing counsel to constitute a violation of the Rule.
- In *Indigo v. Luna Motors Corp.* (Fr. Ct. App. 1998), the court affirmed the granting of a motion for disqualification in a case where an attorney inadvertently received privileged materials and did not return them forthwith to opposing counsel.

A. Whether Amberg & Lewis violated its ethical obligation by its handling of the Schetina letter

Applicants should incorporate into their discussion of this issue the following facts surrounding Amberg & Lewis's receipt of the Schetina letter:

- On February 2, 2009, Amberg & Lewis obtained the Schetina letter as a result of the letter's unauthorized disclosure by some unidentified person at the

Collins Law Firm, which represents Phoenix. (The letter arrived in an envelope bearing Collins's return address and was accompanied by a note reading "From a 'friend' at the Collins Law Firm.") The letter is dated January 2, 1998, and is labeled "CONFIDENTIAL."¹

- Amberg & Lewis did not notify Collins of its receipt of the letter.
- Indeed, Amberg & Lewis would like to use the letter in its case against Phoenix—Schetina's statement is essentially an admission that Biogenesis's interpretation of the royalty agreement is the correct one.
- Also on February 2, 2009, Phoenix learned, by chance, that Amberg & Lewis had obtained the Schetina letter, but assumed, incorrectly, that it had done so as a result of inadvertent disclosure by Collins in the course of discovery. Collins instructed Amberg & Lewis to return the letter, but Amberg & Lewis refused.
- In response, Phoenix filed the present motion to disqualify Amberg & Lewis.

Phoenix's argument regarding Amberg & Lewis's handling of the Schetina letter

- In its brief, Phoenix's first argument assumes that the Schetina letter's disclosure was inadvertent and cites Rule 4.4 in support of its position that, at a minimum, Amberg & Lewis was required to "promptly notify the sender" (i.e., the Collins Law Firm) after it received the Schetina letter.
- If the letter's disclosure was unauthorized, Phoenix contends that *Mead v. Conley Machinery Co.* (Fr. Ct. App. 1999) "imposed an ethical obligation similar to that of Rule 4.4 to govern cases of unauthorized disclosure."
 - Contrary to both Rule 4.4 and *Indigo*, Amberg & Lewis chose to examine the Schetina letter, failed to notify Collins of its receipt, and then refused to return it at Collins's demand.
 - So, either way, whether the disclosure was inadvertent or unauthorized, Phoenix argues that Amberg & Lewis has committed an ethical violation.

Application of Rule 4.4 and relevant case law

¹ The letter states in its entirety: "I am writing with some questions I'd like you to consider before our meeting next Tuesday so that I can get your legal advice on a matter I think is important. I have always understood our agreement with Biogenesis to require it to pay royalties on specified categories of pharmaceuticals. I learned recently how much money Biogenesis is making from other categories of pharmaceuticals. Why can't we get a share of that? Can't we interpret the agreement to require Biogenesis to pay royalties on other categories, not only the specified ones? Let me know your thoughts when we meet."

Applicants should realize that Phoenix's argument overstates its position and that it is not so clear that Amberg & Lewis has violated the Franklin Rules of Professional Conduct.

- Rule 4.4 provides in its entirety that “[a]n attorney who receives a document relating to the representation of the attorney’s client and knows or reasonably should know that the document was inadvertently sent shall promptly notify the sender.”
- Thus, under Rule 4.4, an attorney receiving a document disclosed inadvertently need do no more than notify the sender.
- On its face, the text of the rule pertains only to situations involving *inadvertent* disclosure. The comments to Rule 4.4 are very clear on this point. In short, Rule 4.4 does not address the ethical implications for cases of *unauthorized* disclosure of privileged communications.
- Accordingly, Amberg & Lewis’s conduct is not forbidden by the plain language of Rule 4.4.

1. *Indigo v. Luna Motors Corp.* is not dispositive.

- In *Indigo*, the plaintiff’s attorney received an attorney-client privileged document during document production as a result of inadvertent disclosure. The attorney closely examined the document, which discussed the opposing side’s technical evidence, and then used the document at deposition to obtain damaging admissions from the opposing party. Plaintiff’s attorney refused opposing counsel’s demands to return the document. The court held that this conduct by plaintiff’s attorney constituted a violation of an ethical obligation and was grounds for disqualification.
- The *Indigo* court then articulated the following standard for how attorneys should proceed in such situations:
 - An attorney who receives materials that on their face appear to be subject to the attorney-client privilege, under circumstances in which it is clear they were not intended for the receiving attorney, should refrain from examining the materials, notify the sending attorney, and await the instructions of the attorney who sent them.
- The facts of the present case distinguish it from *Indigo*. Here, an unknown Collins employee intentionally sent the Schetina letter to Amberg & Lewis. (Phoenix could not know this, because it is unaware of how Amberg & Lewis came into possession of the Schetina letter.)

- Presumably, someone at Amberg & Lewis kept the envelope and note that came with the Schetina letter (“From a ‘friend’ at the Collins Law Firm”) and so it can easily prove that the disclosure was unauthorized, as opposed to inadvertent.
- More to the point, in adopting Rule 4.4, the Franklin Supreme Court expressly pulled back from the holding in *Indigo*. See Rule 4.4, Comment 2. The Comment explains that when there is an inadvertent disclosure, the attorney “must promptly notify the sender, but need do no more. . . . *Indigo v. Luna Motors Corp.* conflicted with this rule and, ultimately, with the intent of the Franklin Supreme Court in adopting it.”
- Thus, to the extent that it concluded otherwise, *Indigo* conflicts with Rule 4.4 and, ultimately, with the intent of the Franklin Supreme Court in adopting it. Rule 4.4 does not apply to unauthorized disclosure. Notwithstanding *Mead* (discussed below), the Franklin Supreme Court has declined to adopt a rule imposing any ethical obligation in such cases.

2. Application of *Mead*

- In *Mead*, the Franklin Court of Appeal held that an attorney who received privileged documents belonging to an adverse party through an unauthorized disclosure should do the following: “upon recognizing the privileged nature of the materials, either refrain from reviewing such materials or review them only to the extent required to determine how to proceed; he or she should notify the adversary’s attorney that he or she has such materials and should either follow instructions from the adversary’s attorney with respect to the disposition of the materials, or refrain from using the materials until a definitive resolution of the proper disposition of the materials is obtained from a court.”
- But the court goes on to state that violation of this standard, standing alone, does not warrant disqualification.
- So, while *Mead* appears to require Amberg & Lewis to notify the Collins firm that it received the Schetina letter, following the offended law firm’s instructions on what to do with the letter is optional—instead, Amberg & Lewis can wait for the court to weigh in on the issue.
 - But, under *Mead*, Amberg & Lewis must still refrain from using the materials until such court resolution is obtained.
 - In addition, astute applicants will point out that, while Amberg & Lewis wanted to use the Schetina letter in its case against Phoenix, Phoenix found out that Amberg & Lewis had the Schetina letter the *same day* that Amberg

& Lewis received it (when Peter Horvitz, Phoenix's attorney, overheard the associates talking about the letter at lunch). Arguably, Amberg & Lewis could have notified the Collins firm that it had received the letter, if not for the fact that Horvitz found out about it before Amberg & Lewis had a chance to tell him.

- Again, applicants should note that *Mead* was decided in 1999, before the Franklin Supreme Court enacted Rule 4.4 in 2002. It could be implied that, had the court intended that there be an ethical rule regarding the use of privileged documents that were disclosed without authorization, it could have created one.
 - In fact, Comment 3 to Rule 4.4 mentions the *Mead* case and then notes that “[t]he Franklin Supreme Court . . . has declined to adopt a rule imposing any ethical obligation in cases of unauthorized disclosure.”
- As a consequence, *Mead* may lack continuing vitality on the ground that it is inconsistent with the Franklin Supreme Court's presumed intent not to impose any ethical obligation.
- That being said, it is also arguable that Amberg & Lewis did indeed violate an ethical obligation. Although the Franklin Supreme Court declined to adopt a rule imposing any ethical obligation in cases of unauthorized disclosure, it may have done so because it was satisfied with *Mead*, which had already imposed such an ethical obligation.

3. Even if there was no ethical violation, a violation of a rule is not necessary for disqualification.

- Language in both *Indigo* and *Mead* suggests that a motion for disqualification may be granted by a court even if there has been no rule violation. “It has long been settled in Franklin that a trial court may, in the exercise of its inherent power, disqualify an attorney in the interests of justice.” *Indigo*, citing *In re Klein* (Fr. Ct. App. 1947). *See also Mead* (“[w]ith or without a violation of a specific rule, a court may . . . disqualify an attorney . . . where necessary to guarantee a fair trial”) citing *Indigo*.

4. Conclusion of Issue A

- Phoenix's argument that Amberg & Lewis violated an ethical obligation by its handling of the Schetina letter fails insofar as it incorrectly assumes that Amberg & Lewis obtained the letter as a result of inadvertent, rather than unauthorized, disclosure.
- It appears that Amberg & Lewis would *not* have violated the ethical obligation imposed by *Indigo*. *Indigo* conflicts with Rule 4.4 and, ultimately, with the

intent of the Franklin Supreme Court in adopting it, and therefore lacks continuing vitality.

- By contrast, Phoenix's argument that Amberg & Lewis violated an ethical obligation may succeed insofar as it assumes in the alternative that Amberg & Lewis obtained the letter as a result of unauthorized disclosure, depending, as indicated above, on whether *Mead* is still good law in light of the comments to Rule 4.4.
- Accordingly, there is a strong argument to be made that Amberg & Lewis has not violated the letter of the Professional Rules. Nevertheless, because the import of the *Mead* decision is uncertain, that does not end the inquiry and the court will still, most likely, go on to consider whether disqualification is required in the interests of justice.

B. Whether disqualification of Amberg & Lewis is the appropriate remedy

- A trial court may, in the exercise of its inherent power, disqualify an attorney in the interests of justice. It must exercise that power, however, in light of the important right enjoyed by a party to representation by an attorney of its own choosing. Such a right must nevertheless yield to ethical considerations that affect the fundamental principles of the judicial process. *Indigo*.
- Phoenix contends that Amberg & Lewis has threatened it with incurable prejudice and therefore disqualification must follow. In Phoenix's view, whether or not any *direct* harm could be prevented by exclusion of the Schetina letter from evidence, the *indirect* harm that might arise from its use in trial preparation cannot be dealt with so simply, inasmuch as "[t]he bell has been rung, and can hardly be unring." (Pltf's br.)
 - It is true that in *Mead* the court suggested in a footnote that, in cases of unauthorized disclosure, the "threat of 'incurable prejudice' . . . is neither a necessary nor a sufficient condition for disqualification." But that suggestion is mere dictum, inasmuch as *Mead* did not involve the threat of *any* prejudice, incurable or otherwise (in *Mead*, the court described the document at issue as "little more than a paraphrase of a handful of [the plaintiff's] allegations").
- Applicants should conclude that disqualification is not mandated in this case.
- Even if Amberg & Lewis violated an ethical obligation, it should not be disqualified.

- Under *Mead*, disqualification in all cases of disclosure, whether inadvertent or unauthorized, depends on a balancing of six factors: (1) the receiving attorney's actual or constructive knowledge of the material's attorney-client privileged status; (2) the promptness with which the receiving attorney notified the opposing side of receipt; (3) the extent to which the receiving attorney reviewed the material; (4) the material's significance, i.e., the extent to which its disclosure may prejudice the party moving for disqualification, and the extent to which its return or other measure may cure that prejudice; (5) the extent to which the party moving for disqualification may be at fault for the unauthorized disclosure; and (6) the extent to which the party opposing disqualification would suffer prejudice from disqualification.
 - Contrary to any implication in *Indigo*, the threat of incurable prejudice is neither a necessary nor a sufficient condition for disqualification.
- The balance weighs *against* disqualification here.
 - As in the *Mead* case, where the documents were covertly copied, Phoenix is not at fault (Factor 5)—the Schetina letter was passed on to Amberg & Lewis by a disgruntled Collins employee. This favors disqualification.
 - Furthermore, Amberg & Lewis knew or should have known of the letter's attorney-client privileged status (Factor 1), did not notify Collins of its receipt (Factor 2), and reviewed it thoroughly—in part because of its brevity (Factor 3). Concededly, these factors favor disqualification.
 - But that being said, the Schetina letter nonetheless proves to be of dubious significance (Factor 4). True, it amounts to an admission by Phoenix that Biogenesis was correct in its understanding of its royalty obligation under the 1978 agreement. But its exclusion from evidence would prevent any prejudice to Phoenix. (Contrary to the situations in *Indigo* and *Mead*, where the attorneys in each case made use of the disclosed materials at depositions, here Amberg & Lewis has not yet made any use of the letter.) Moreover, any harm arising from any conceivable non-evidentiary use of the letter would be at best speculative.
 - By contrast, Biogenesis would suffer substantial prejudice from Amberg & Lewis's disqualification, inasmuch as it would have to incur appreciable costs if it were forced to attempt to substitute new attorneys for a trial set to begin in a month after six years of preparation. These factors (Factors 4 and 6) disfavor disqualification—and they appear to predominate.

- Biogenesis enjoys an “important right” to representation by Amberg & Lewis as its chosen attorneys. *Indigo*.
- And there appear to be no “ethical considerations” so affecting the “fundamental principles of our judicial process” as to require that “right” to “yield.” *Id.*
- In sum, disqualification of Amberg & Lewis does not appear necessary to guarantee Phoenix a fair trial.
- Contrary to Phoenix’s argument, which relies on language that appears in *Indigo*,² disqualification of Amberg & Lewis does not depend solely on the threat of incurable prejudice. Although Phoenix attempts to dismiss the court’s analysis in *Mead* as mere dictum, the *Mead* court intended its analysis at least to clarify, and at most to supersede, its earlier language in *Indigo* in order to make plain that disqualification depends on a balancing of factors not reducible to the threat of incurable prejudice alone. In any event, there is no threat of incurable prejudice here. As stated, the exclusion of the Schetina letter from evidence would avoid any prejudice, and any harm arising from its presence in the memory of Amberg & Lewis attorneys would be at best speculative.

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² In *Indigo*, the court relied on the opinion in *In re Klein*, which held that the threat of incurable prejudice “has long been recognized as a sufficient basis for disqualification.” *Indigo*, citing *In re Klein*.